Parade Technologies Reports First Quarter 2026 Financial Results

Financial Highlights:

- Q126 consolidated revenue US$126.14 million, compared with US$126.23 million in the year-ago quarter
- Q126 consolidated net income US$16.73 million; Basic and Fully diluted after-tax EPS US$0.21 (NT$6.77) and US$0.21 (NT$6.73), respectively

Parade Technologies, Ltd. today announced its financial results for the first quarter fiscal year 2026 ended March 31, 2026, and provided guidance for the second quarter of fiscal year 2026.

Consolidated revenue was US$126.14 million and consolidated net income was US$16.73 million. Basic and fully diluted after-tax earnings per share ("EPS") were US$0.21 (NT$6.77) and US$0.21 (NT$6.73), respectively. These results compared to consolidated revenue US$126.23 million and consolidated net income of US$20.19 million, or US$0.25 (NT$8.38) and US$0.25 (NT$8.33) per basic and fully diluted share, in the year-ago quarter.

In US dollars, the first quarter of 2026 consolidated revenue increased 0.74% sequentially and was down 0.07% year-over-year.

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The gross profit in the first quarter of 2026 was US$50.83 million, representing a decrease of 3.41% from the previous quarter and a decrease of 5.38% compared to the same quarter of last year.

On February 10, 2026, Parade announced the production availability of the TC3408 and TC3410 devices, the industry's first single-chip Touch with TCON Embedded Driver (TTED) solution for the 1920 x 1200 (WUXGA) resolution mainstream notebook market. These devices deliver extremely narrow panel borders and TCON PCB form factors to enable ever thinner notebook designs at cost-effective price points. TC3408 and TC3410 incorporate the latest power saving features of eDP 1.5 for unmatched logic power performance at up to 120 Hz display refresh rate. The devices combine Parade's broad portfolio of patented touchscreen technology and market proven eDP TCON, in-cell and high-speed signal technology, to provide excellent picture quality and responsive touch performance.

On February 12, 2026, Parade announced sampling availability of the TC3410-AS device, the industry's first single-chip Touch with TCON Embedded Driver (TTED) solution with integrated active stylus support for 1920 x 1200 (WUXGA) resolution. This new device drastically reduces the silicon, hardware, sensor costs and logistical complexity associated with adding active stylus capability to existing touchscreen panels. The TC3410-AS device combines Parade's broad portfolio of patented touchscreen technology and market proven eDP TCON, in-cell and high-speed signal technology, to provide excellent picture quality at 120 Hz display with responsive 240 Hz active stylus performance.



On March 4, 2026, Parade introduces the availability of two new quad channel Linear Redrivers to support both 224Gbps and 112Gbps Ethernet applications for server, storage and high performance AI scale-up Data Center cable use. With industry leading linearity and best possible group delay – particularly when there is line rate adjustment, the PS9524/PS9514 Ethernet Linear Redrivers provide programmable EQ boosts up to 25dB/22dB, while operating from a single 3.3v supply. Key parameters for the HPC/AI datacenter include low power and low latency, making retimed cables more problematic. With its small form factor and low power consumption, the PS9524/PS9514 are optimized to fit existing metal shells of various form factors (including QSFP, QSFP-DD, OSFP, OSFP-XD) without the need for additional heat sink. The advanced linearity allows datacenters to trade-off extended cable distance versus thinner cables to reduce routing and system thermal complexity.

On April 2, 2026, Parade announces the availability of PS8651V DP 2.1a/HBR3 1:2 MST hub controller for automotive, accessories and video display designs that need DP/eDP port expansion. It adds to Parade's DP MST Hub solutions which include the PS8650 DP 2.1a/UHBR20 1:4 MST hub controller already on the market. The PS8651V is compliant with VESA DisplayPort v2.1a and eDP 1.5 specifications up to HBR3 or 8.1Gbps/lane link rate, up to 4 lanes. It is AEC-Q100 Grade 2 (-40°C to +105°C ambient temperature) qualified for automotive applications.

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Based on current business outlook, Parade is providing the following guidance for the second quarter of fiscal 2026:

- Revenue: US$127.0 ~141.0 Million
- Gross Margin: 40% ~44%
- Operating Expense: US$33.0 ~36.0 Million

The financial figures detailed above for the first quarter of 2026 have been reviewed by independent accountants.

About Parade Technologies, Ltd.

Parade Technologies, Ltd. is a leading supplier of mixed-signal ICs for a variety of popular display and high-speed interface standards used in computers, consumer electronics and display panels. The fabless semiconductor company was founded in 2005 and publicly listed on Taipei Exchange ("TPEx") in 2011 (stock code: 4966). Parade's portfolio of IC products serves the growing demand for HDMI™, DisplayPort™, SATA, and USB ICs for display, storage and interface applications.

In addition to being a technology innovator, Parade is an active participant and leader in industry standards-setting organizations. Parade Technologies, Inc., a wholly owned US-based subsidiary of Parade Technologies, Ltd., is a member of VESA (Video Electronics Standard Association). Parade Technologies, Inc. has made key contributions to the development of VESA's DisplayPort™ digital video interface standard.

Parade leverages its close relationships with market leading Tier-1 OEMs to develop ICs that provide unique system capabilities. Many of the company's devices integrate proprietary technologies that offer superior system signal integrity, advanced system integration and enhanced power efficiency. As a result of the company's "standards-plus" design philosophy, Parade ICs have been designed into products offered by nearly every leading computer and display vendor worldwide.

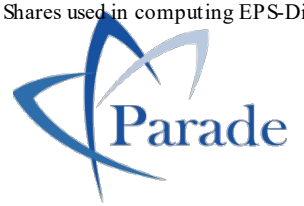


Parade Technologies, Ltd. and Subsidiaries.

The reader is advised that these consolidated financial statements have been prepared originally in NT$ and conformed with the adoption of IFRSs. In the event of any differences between NT$ and US$ version, the NT$ version shall prevail.

UNAUDITED CONSOLIDATED INCOME STATEMENTS

	USD in Thousands				NTD in Thousands			
	Sequential Quarter		Three Months ended		Sequential Quarter		Three Months ended	
	Mar 31, 2026	Dec 31, 2025	Mar 31, 2026	Mar 31, 2025	Mar 31, 2026	Dec 31, 2025	Mar 31, 2026	Mar 31, 2025
Revenue	126,138	125,217	126,138	126,227	3,989,734	3,887,990	3,989,734	4,151,599
Cost of goods sold	75,307	72,590	75,307	72,505	2,381,961	2,253,952	2,381,961	2,384,682
Gross profit	50,831	52,627	50,831	53,722	1,607,773	1,634,038	1,607,773	1,766,917
Research & development expenses	23,021	23,902	23,021	22,622	728,164	742,130	728,164	744,030
Sales & marketing expenses	6,431	7,242	6,431	6,384	203,404	224,869	203,404	209,969
General & administrative expenses	4,310	4,383	4,310	4,732	136,321	136,082	136,321	155,652
Total operating expenses	33,762	35,527	33,762	33,738	1,067,889	1,103,081	1,067,889	1,109,651
Operating income	17,069	17,100	17,069	19,984	539,884	530,957	539,884	657,266
Non-operating income	1,338	2,084	1,338	2,149	42,332	64,712	42,332	70,673
Income before income taxes	18,407	19,184	18,407	22,133	582,216	595,669	582,216	727,939
Income tax expense	1,677	1,652	1,677	1,941	53,056	51,293	53,056	63,838
Net income	**16,730**	**17,532**	**16,730**	**20,192**	**529,160**	**544,376**	**529,160**	**664,101**
EPS - Basic (In Dollar)	$0.21	$0.22	$0.21	$0.25	$6.77	$6.97	$6.77	$8.38
Shares used in computing EPS-Basic (In thousands)	78,151	78,059	78,151	79,290	78,151	78,059	78,151	79,290
EPS - Diluted (In Dollar)	$0.21	$0.22	$0.21	$0.25	$6.73	$6.94	$6.73	$8.33
Shares used in computing EPS-Diluted (In thousands)	78,652	78,384	78,652	79,727	78,652	78,384	78,652	79,727



Parade Technologies, Ltd. and Subsidiaries.

UNAUDITED CONSOLIDATED BALANCE SHEETS
As of March 31, 2026 and 2025

	USD in Thousands		NTD in Thousands	
	Mar 31, 2026	Mar 31, 2025	Mar 31, 2026	Mar 31, 2025
Current assets				
Cash & cash equivalents	342,511	290,422	10,960,363	9,644,907
Accounts receivable, net	51,523	47,047	1,648,722	1,562,436
Inventories, net	113,433	117,316	3,629,864	3,896,071
Other current assets	19,900	20,094	636,803	667,325
Total current assets	527,367	474,879	16,875,752	15,770,739
Non-current assets				
Property, plant and equipment, net	10,130	10,043	324,164	333,520
Right-of-use assets	12,174	8,955	389,565	297,393
Intangible assets	113,000	103,913	3,616,022	3,450,916
Deferred income tax assets	10,349	12,117	331,157	402,417
Other non-current assets	136,096	148,655	4,355,056	4,936,846
Total non-current assets	281,749	283,683	9,015,964	9,421,092
Total Assets	**809,116**	**758,562**	**25,891,716**	**25,191,831**
Current Liabilities				
Accounts payable	41,155	42,238	1,316,967	1,402,714
Other payables	43,471	22,342	1,388,004	741,973
Current income tax liabilities	9,609	11,606	307,504	385,458
Lease liabilities - current	4,410	3,579	141,122	118,873
Other current liabilities	7,432	6,700	237,811	222,498
Total current liabilities	106,077	86,465	3,391,408	2,871,516
Non-current Liabilities				
Lease liabilities - non-current	7,764	5,375	248,443	178,520
Total non-current liabilities	7,764	5,375	248,443	178,520
Equity				
Ordinary shares	26,388	26,730	800,578	811,600
Capital reserves	107,859	134,400	3,271,565	4,135,700
Retained earnings	625,886	590,818	18,715,461	17,663,439
Other equity	(1,698)	(3,997)	1,487,517	2,174,846
Treasury shares	(63,160)	(81,229)	(2,023,256)	(2,643,790)
Total equity	695,275	666,722	22,251,865	22,141,795
Total liabilities and equity	**809,116**	**758,562**	**25,891,716**	**25,191,831**



Parade Technologies, Ltd. and Subsidiaries.

UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOWS
For three months ended March 31, 2026 and 2025

	USD in Thousands		NTD in Thousands	
	Mar 31, 2026	Mar 31, 2025	Mar 31, 2026	Mar 31, 2025
Cash flows from operating activities				
Income before income tax for the period	18,407	22,133	582,216	727,939
Depreciation and amortization (including the right-of-use assets)	5,760	6,149	182,191	202,257
Loss on disposal of equipment	2	-	69	-
Share-based compensation cost	3,390	5,153	107,239	168,995
Interest income	(1,871)	(2,061)	(59,193)	(67,793)
Income and expenses having no effect on cash flows	7,281	9,241	230,306	303,459
Accounts receivable	7,584	664	242,675	22,058
Inventories	1,817	4,143	58,136	137,611
Other current assets	(8,327)	(6,746)	(275,081)	(213,040)
Net changes in assets relating to operating activities	1,074	(1,939)	25,730	(53,371)
Accounts payable	1,695	1,950	54,225	64,755
Accrued expenses	(6,505)	(10,326)	(208,169)	(342,933)
Other current liabilities	(1,087)	800	(34,776)	26,571
Net changes in liabilities relating to operating activities	(5,897)	(7,576)	(188,720)	(251,607)
Cash inflow generated from operations	20,865	21,859	649,532	726,420
Interest received	1,871	2,061	59,193	67,793
Income tax paid	(5,375)	(1,485)	(170,023)	(48,843)
Net cash provided by operating activities	**17,361**	**22,435**	**538,702**	**745,370**
Cash flows from investing activities				
Acquisition of equipment	(2,069)	(952)	(65,440)	(31,311)
Acquisition of intangible assets	(35)	(110)	(1,108)	(3,608)
Decrease in refundable deposits	1,283	3,350	41,038	111,258
Increase in other prepayments	(645)	(2,914)	(20,399)	(95,848)
Net cash flows used in investing activities	**(1,466)**	**(626)**	**(45,909)**	**(19,509)**
Cash flows from financing activities				
Distribution of cash dividends	-	(17,896)	-	(570,088)
Repayment of the principal portion of lease liabilities	(1,006)	(915)	(31,815)	(30,081)
Purchase of treasury shares	(28,675)	(45,790)	(900,018)	(1,497,643)
Treasury shares reissued to employees	12,034	11,408	390,967	365,679
Cash dividend regain from canceled share-based compensation	-	5	-	146
Net cash flows used in financing activities	**(17,647)**	**(53,188)**	**(540,866)**	**(1,731,987)**
Effect of exchange rate changes	(2,524)	608	108,913	119,131
Net (decrease) increase in cash and cash equivalents	(4,276)	(30,771)	60,840	(886,995)
Cash and cash equivalents at beginning of period	346,787	321,193	10,899,523	10,531,902
Cash and cash equivalents at end of period	**342,511**	**290,422**	**10,960,363**	**9,644,907**